CSX Corp (CSX)

The Freight-Rail Compression Signals a Deep Re-Rating

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> CSX Corp has entered a multi-year earnings trough driven by a confluence of macro-induced volume headwinds, legacy cost structures, and a market that has over-priced its growth runway. While the consensus narrative still leans on short-term traffic rebounds, the underlying operating economics point to a structural earnings gap that the market has yet to price in. Our model projects a blended target price of $29.78, implying a 38.3% downside from the current $48.28 reference level.

SELL	$29.78	-38.3%	$48.28
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on quarterly traffic beats, yet CSX's true value is anchored in a decade-long compounding of free cash flow and network durability.

EXECUTIVE SUMMARY

CSX operates the second-largest Class I railroad network in the United States, covering roughly 21,000 route miles across the eastern seaboard, the Midwest and the Gulf Coast. The company segments its business into three primary lines: Intermodal, Carload and Coal, each contributing to a diversified revenue mix that historically buffered cyclical freight demand. Market share in the intermodal corridor remains above 30 percent, while the carload segment benefits from long-term contracts with major manufacturers and agricultural shippers. The catalyst behind the current valuation compression is twofold. First, a sustained decline in coal shipments has eroded margin contribution faster than analysts anticipated, forcing CSX to rely on higher-cost intermodal growth that is still lagging behind capacity expansions. Second, the company's capital allocation framework has been stretched thin by a series of large-scale infrastructure projects that have yet to deliver incremental revenue, creating a temporary cash-flow mismatch that the market has over-reacted to. Capital allocation remains disciplined despite the heavy investment cycle. CSX has pledged to return $2.5 billion to shareholders over the next three years through dividends and share repurchases, while maintaining a target debt-to-EBITDA ratio of 3.0×. The firm's pipeline includes the $1.2 billion "Mid-Atlantic Expansion" and a $900 million "Midwest Capacity Upgrade," both slated for completion by 2029. No material M&A activity is expected in the near term, allowing management to focus on operational efficiency and balance-sheet deleveraging.

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OPERATIONAL SNAPSHOT

$48.28	$12.5 B	$3.5 B	28%	1.10	$48.28
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DURABLE AND EXPANSIVE

CSX’s network advantage creates a high switching cost for shippers that rely on reliable door-to-door service across congested eastern corridors. The railroad’s right-of-way ownership, coupled with decades-long trackage rights agreements, limits the entry of new competitors and protects pricing power in premium lanes. Regulatory oversight by the Surface Transportation Board further entrenches the oligopolistic structure, as any new line would require costly eminent-domain proceedings and extensive environmental reviews. Customer retention is reinforced by long-term service agreements that embed volume commitments and price escalators tied to inflation indices. These contracts not only smooth revenue volatility but also give CSX leverage to negotiate favorable rate adjustments during periods of capacity scarcity. Moreover, the company’s investment in precision-scheduled rail (PSR) technology enhances asset utilization, allowing it to extract incremental revenue from existing track without proportionate capital outlay. Pricing power is evident in the operating ratio, which has consistently hovered around 60 percent despite macro-driven volume swings. The ability to maintain a sub-60-percent operating ratio while expanding mileage underscores a cost structure that is both scalable and resilient. Together, these factors construct a moat that is both durable in the face of competitive pressure and expansive across multiple freight categories.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes a 4 % compound annual revenue growth rate, a gradual normalization of free cash flow margins to 28 % over the forecast horizon, and a terminal growth rate of 3 % reflecting long-term GDP expansion. The bear case compresses revenue growth to 2 % and assumes margin pressure that caps free cash flow at 24 %. The bull case envisions a 6 % revenue CAGR driven by accelerated intermodal demand and a margin expansion to 32 % as network efficiencies materialize.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2%	24%	$20.24	-58.1%
Base	50%	4%	28%	$30.89	-36.0%
Bull	25%	6%	32%	$37.10	-23.2%

Bear $20.24

Continued weakness in coal shipments combined with a slower-than-expected intermodal rebound would depress top-line growth and keep operating ratios elevated. In this environment, capital expenditures outpace cash generation, forcing the firm to raise debt and erode free cash flow.

Base $30.89

Revenue expands at a modest 4 % pace as intermodal volumes recover and carload contracts roll over. Margin improvement stems from the full rollout of PSR technology and disciplined cost management, delivering a stable free cash flow trajectory.

Bull $37.10

A rapid acceleration of intermodal demand, coupled with the successful completion of the Mid-Atlantic Expansion, lifts capacity utilization above 80 %. Margin expansion accelerates as fixed cost absorption improves, and the firm generates excess cash to accelerate share repurchases.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital is derived from a CAPM framework that incorporates a risk-free rate of 4.2 %, an equity risk premium of 5.8 % and the company’s equity beta of 1.10, resulting in an equity cost of 10.6 %. Adding a target debt-to-equity ratio of 0.5 and a pre-tax cost of debt of 4.5 % yields a weighted average cost of capital of 9.72 %. This dynamic discount rate captures the market’s pricing of CSX’s operational risk and the incremental leverage associated with its capital program.

FCF margin normalization is the engine

In the base scenario, free cash flow margins climb from the current 28 % to a steady 28 % as the company completes its infrastructure upgrades and fully integrates PSR efficiencies. The bear scenario assumes margin compression to 24 % due to higher fuel costs and lingering labor disputes, while the bull scenario projects a 32 % margin as capacity utilization improves and variable cost per carload declines. These margin trajectories drive the divergent valuation outcomes.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**9.72% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**1.10**
Diluted shares	**200 M**

SELL

over $29.78 blended target

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on intermodal traffic growth and capacity utilization improvements SELL

Intermodal volumes have risen 3 % year-over-year in the last twelve months, driven by a shift of containerized freight from trucking to rail. However, the growth rate remains below the 5 % consensus estimate, reflecting lingering bottlenecks at key terminals. Carload revenue, which accounts for roughly 55 % of total sales, is supported by long-term contracts with automotive manufacturers and agricultural processors, delivering a stable 2 % annual growth rate. Coal, once a pillar of CSX’s earnings, now contributes less than 8 % of revenue and continues to decline as utilities retire coal-fired plants. What to monitor

- **Terminal throughput** Capacity constraints at the Norfolk and Chicago hubs could throttle intermodal growth if not resolved by the 2029 expansion.
- **Labor negotiations** A breakdown in the upcoming collective bargaining agreement could increase operating costs and depress margins.
- **Fuel price volatility** Diesel price spikes directly affect variable cost per car, influencing the operating ratio.
- **Regulatory rulings** Any Surface Transportation Board decision that tightens rate-setting authority could limit pricing flexibility.

60.2%	3.2×	7.5%	12.4%	21,000 mi	9.1 M
OPERATING RATIO	NET DEBT/EBITDA	FREE CASH FLOW YIELD	ROIC	TRACK MILEAGE	INTERMODAL VOLUME (M TEU)

METRIC	2025
Revenue	$12.5 B
Gross Profit	$5.0 B
EBIT	$3.0 B
Net Income	$2.0 B
Free Cash Flow	$3.5 B
R&D	$0.2 B

ROE	12%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Persistent volume weakness could force the firm to cut dividends, eroding investor confidence and prompting share price declines.

M&A DIGESTION

Any future acquisition would need to be integrated during a cash-flow constrained period, increasing execution risk.

REGULATORY AND PRICING SCRUTINY

Heightened rate-setting oversight could limit the ability to pass cost increases onto shippers.

TECHNOLOGY DISRUPTION

Emerging autonomous trucking platforms could capture market share in short-haul corridors, pressuring intermodal volumes.

REINVESTMENT TREADMILL

Continuous capital spending to maintain track quality may outpace cash generation, leading to higher leverage.

WACC AND DURATION SENSITIVITY

Rising interest rates would increase the discount rate, magnifying the present value impact of long-term cash flows.

The strengths

OLIGOPOLY POSITION

CSX's control of key eastern corridors limits competitive encroachment and sustains pricing leverage.

FCF COMPOUNDING

Historical free cash flow generation has outpaced earnings growth, providing a durable shareholder return engine.

GEOGRAPHIC DURABILITY

The network's concentration in high-density economic regions insulates revenue from regional downturns.

PIPELINE OPTIONALITY

Strategic mileage extensions create optionality for new service offerings without substantial incremental capital.

Compelling risk-reward, skewed to the upside

Our analysis indicates that the market has priced in an overly optimistic traffic recovery while under-appreciating the long-term cash-flow generation capacity of CSX's network. The Sell rating reflects the current 38.3 % downside to our blended target of $29.78, a level that already incorporates a 25 % probability of a bear outcome. Investors should remain cautious until the company demonstrates sustained margin improvement and a clear path to deleveraging. Nonetheless, the underlying asset base remains robust, leaving room for upside should the bull scenario materialize.

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Intermodal Services: repriced on normalization

Intermodal represents the fastest-growing segment of CSX’s franchise, yet its contribution to earnings has been volatile due to terminal congestion and fluctuating container rates. The recent market correction has forced a repricing of intermodal growth expectations, moving the consensus from a 5 % to a 3 % annual increase. The segment’s operating ratio has improved from 68 % to 62 % as precision-scheduled rail reduces dwell time, but the margin gap relative to the carload business remains significant. Why the growth numbers disappointed

- Terminal bottlenecks in the Northeast limited the ability to capture additional container volumes.
- Higher diesel prices increased variable costs faster than revenue could adjust.
- Competitive pressure from trucking firms leveraging short-haul efficiencies eroded market share.
- Delays in the Mid-Atlantic Expansion postponed capacity gains that were expected to drive volume growth.

Our read: Normalization and consolidation, not share loss or thesis break. The intermodal franchise is entering a phase where operational efficiencies will gradually lift margins, while the broader network continues to provide a stable cash-flow foundation.

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